Precedent Transaction Analysis – ABCD Tech

Hypothetical technology target · 7 precedent deals (2023–2025) · USD millions unless stated · MS Excel valuation practice project · Aditya Kushwaha

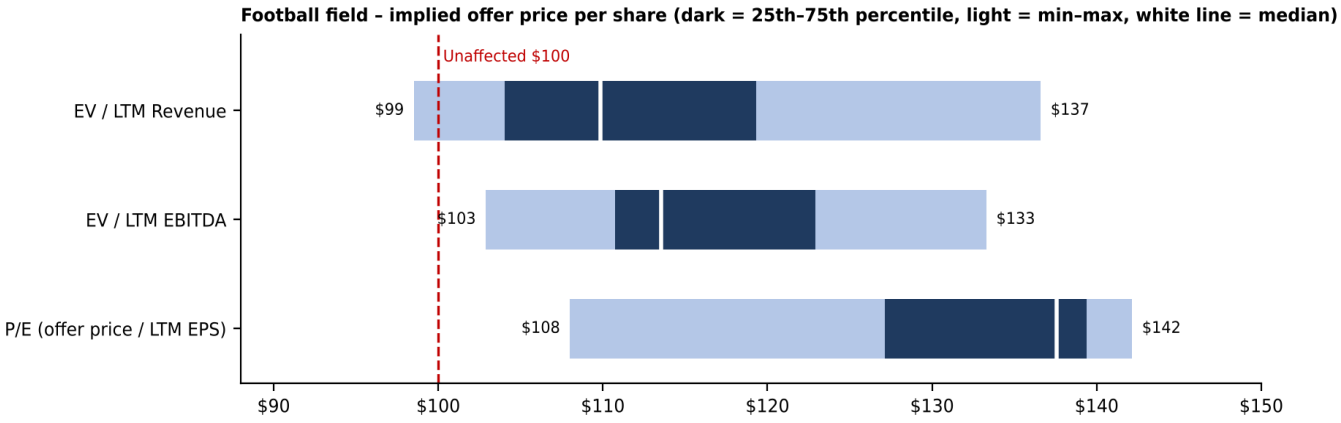
Median EV / Revenue	Median EV / EBITDA	Median P/E	Unaffected price	IQR offer price	Median premium (EBITDA)
5.4x	29.1x	76.4x	$100	$104–139	14%

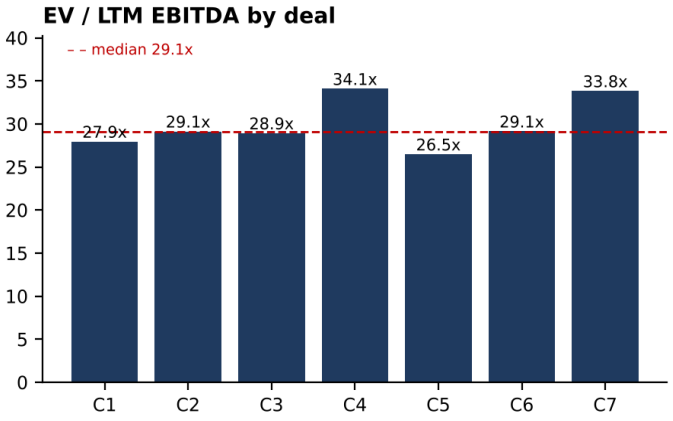
Objective

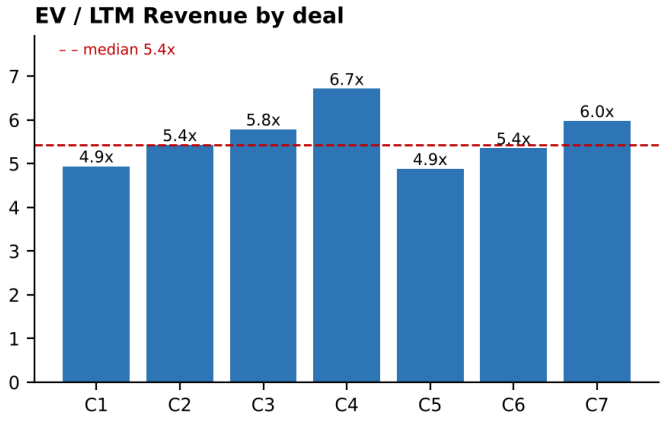
Estimate the implied enterprise value, offer price per share and control premium for ABCD Tech, a technology company with LTM revenue of $5,200mm, LTM EBITDA of $1,000mm and 250mm diluted shares, using multiples paid in 7 comparable acquisitions.

Key findings

- Precedent deals were priced at a median **5.4x EV/LTM revenue**, **29.1x EV/LTM EBITDA** and **76.4x P/E**.
- At median multiples the implied enterprise value is **$28,219mm–$29,133mm**; less net debt of $750mm gives equity value of $27,469mm–$28,383mm on the EV methods.
- The interquartile offer price range across all three methods is **$104–$139 per share**, against a $100 unaffected price (30-day VWAP).
- Median implied control premium: **10%** (revenue), **14%** (EBITDA) and **38%** (P/E). The P/E method gives the highest prices (median $138 vs $110–$114 on the EV methods), so it sets the top of the range.
- EV/EBITDA is the most consistent method: its interquartile price range is the narrowest of the EV methods ($111–$123).







Target data – ABCD Tech

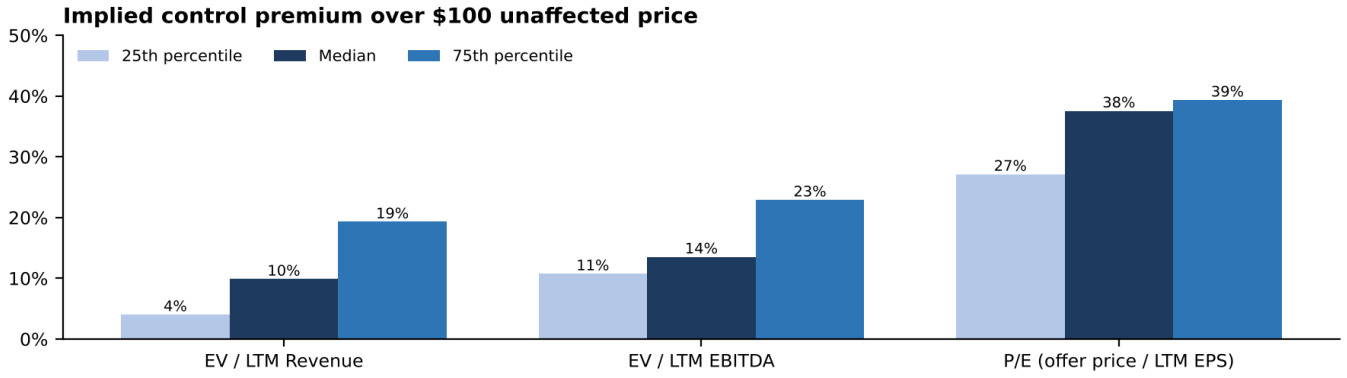
Item	Value
Unaffected price per share (30-day VWAP)	$100.00
Current price per share	$98.00
Diluted shares outstanding (mm)	250
Total debt ($mm)	1,250
Cash ($mm)	500
Net debt ($mm)	750
LTM revenue ($mm)	5,200
LTM EBITDA ($mm)	1,000
LTM EPS ($)	1.80

Precedent transactions

Deal	Year	EV ($mm)	LTM Rev ($mm)	LTM EBITDA ($mm)	LTM EPS ($)	Offer price ($)	EV / Rev	EV / EBITDA	P/E
Comp 1	2025	27,670	5,600	990	1.20	72	4.9x	27.9x	60.0x
Comp 2	2025	27,676	5,100	950	3.10	235	5.4x	29.1x	75.8x
Comp 3	2024	25,165	4,350	870	1.90	148	5.8x	28.9x	77.9x
Comp 4	2024	22,149	3,300	650	1.95	154	6.7x	34.1x	79.0x
Comp 5	2024	31,236	6,400	1,180	1.67	109	4.9x	26.5x	65.5x
Comp 6	2023	32,636	6,100	1,120	1.40	107	5.4x	29.1x	76.4x
Comp 7	2023	30,773	5,150	910	2.30	177	6.0x	33.8x	77.0x
Median							**5.4x**	**29.1x**	**76.4x**

Implied valuation ranges

Statistic	EV – Revenue basis ($mm)	EV – EBITDA basis ($mm)	Price – Revenue ($)	Price – EBITDA ($)	Price – P/E ($)
Minimum	25,379	26,471	98.52	102.88	108.00
25th Percentile	26,757	28,437	104.03	110.75	127.14
Median	28,219	29,133	109.87	113.53	137.57
Mean	29,024	29,930	113.10	116.72	131.53
75th Percentile	30,577	31,478	119.31	122.91	139.37
Maximum	34,901	34,075	136.61	133.30	142.15



Method

- Deal multiples = transaction EV ÷ target LTM revenue or EBITDA, and offer price ÷ target LTM EPS.
- Implied EV = multiple × ABCD Tech LTM metric; equity value = EV − net debt (debt − cash); P/E equity value = multiple × EPS × diluted shares.
- Offer price per share = equity value ÷ diluted shares; control premium = offer price ÷ unaffected price − 1.
- Percentiles use QUARTILE.INC across the 7 deals. All figures are live Excel formulas linked to the inputs.

Note: ABCD Tech and the seven precedent deals are an anonymised training case, not real company data. For learning purposes only, not investment advice.